



availability, control and ownership make consolidated reporting more challenging.

Similarly, today, BRSR is a general template, and there is one school of thought that if you make it sector-specific, then the disclosure becomes more meaningful. Ultimately, we did not intend for the BRSR to be a static framework. It has to evolve with market maturity, investor needs, and global developments, while remaining grounded in domestic realities.

Q: Value chain reporting has been included in the BRSR Core. How has the response been?

A: It's one of the significant—and perhaps, the most difficult—parts of sustainability reporting. For many companies, the bulk of their environmental footprint isn't in their own operations; it's upstream in raw materials or downstream in how products are used. Investors need that complete picture.

Accordingly, the BRSR originally included certain leadership indicators relating to the value chain, including disclosures on assessment of value chain partners and Scope 3 greenhouse gas emissions. Leadership indicators contain voluntary points.

Subsequently, in 2023, disclosures and limited assurance requirements for select metrics under the BRSR Core framework were extended to the value chain of listed entities on a comply-or-explain basis and with a calibrated scope. These disclosures were initially proposed to apply from FY25, with limited assurance requirements from FY26.

But we also heard clearly from the market: this is genuinely hard. Companies depend on hundreds of suppliers for data, many of whom are still building their own systems. Value chain disclosures are now voluntary rather than comply-or-explain, timelines were extended, and the scope was narrowed to partners accounting for 2% or more of purchases or sales. The goal is progress, not perfection on day one.

Q: Globally, ESG is facing a serious backlash in some parts of the world — regulatory roll-backs, political attacks. What is the future?

A: I'd separate two things: the political discourse and the underlying risk reality. Political headwinds in some jurisdictions are real. Political shifts do not, however, make climate risk disappear. A company exposed to water scarcity or carbon pricing faces those risks regardless of regulatory mandates.

Investor-led pressure will therefore continue to sustain the momentum for voluntary sustainability disclosures, even in the roll-back or relaxation of regulatory mandates. That pressure isn't going away.

As we look to the future, several themes are likely to shape the sustainability landscape. First, we can expect an increasing connection between financial and sustainability reporting. This shift recognises the inter-linkage between the financial risks a company faces from climate change and the impact that it creates for the planet. Integration of these perspectives will enable a better understanding of the risks and opportunities faced by a company.

Secondly, the challenge of greenwashing will become more pronounced. As sustainability claims proliferate, regulators will need to scale up their oversight capabilities.

Third, vague commitments will no longer pass muster. Credible transition planning will become essential. Companies will need to go beyond intent and articulate practical, time-bound pathways, backed by clear metrics and financial implications.

The journey will not be without its challenges, in particular, the fundamental tension between profitability and sustainability. The short-term gains rewarded by the market are more visible, and the long-term climate risk is underpriced. A more nuanced understanding of value needs to be developed. The calculus has to change.

Views are personal. BT

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